

standards of living. European governments borrowed to expand social services. The United Kingdom borrowed for both reasons. And now, the borrowing has gone exponential, while growth has almost disappeared.

THE CHINESE CENTURY?

Many people see parallels between the rapid growth of the U.S. economy at the start of the twentieth century and the rapid growth of the Chinese economy now. They are tempted to see this as the “Chinese Century” and imagine that China will be a powerhouse, like the United States, for the next 100 years.

Yes—maybe—but . . .

The U.S. economy was a powerhouse then because it was so *unlike* what it is today. It was a free-market economy back then. Willing buyers and sellers made capital allocation decisions. Sometimes they were right. Sometimes they were wrong. But the markets corrected mistakes, continually redirecting capital from weak hands to strong ones and from failed projects to successful ones.

Capitalism—not central planning—is how people get rich. China is a “capitalistic” economy, but with major guidance from the public sector. We don’t know exactly how important those bureaucratic inputs are. We don’t know if any Westerner fully grasps how it works. Even the Chinese we talk to are perplexed. But there is no question that central, regional, and local planners, by no means pure capitalists, direct vast amounts of investment capital.

As a result, there are perhaps trillions of dollars of misallocations of capital that are not readily or easily corrected. Shopping malls with no customers. Apartments with no buyers. Whole towns with no inhabitants. Many of these were built with debt. And much of that debt is bad debt.

It is impossible to predict how this will be resolved. Perhaps a blowup will be followed by a quick bounce-back, with corrections that allow for more sensible decision making. Perhaps real growth is so strong that it overwhelms and smothers the mistakes. Who knows?